EXECUTIVE SUMMARY

1. Introduction

The Municipality of Abulug lies along the northwestern part of the province of Cagayan. Tulug, the original name of Abulug had been a flourishing fishing village long before Don Juan Salcedo sailed to the mouth of Abulug River in 1572. In 1969, the name ""Tulug"" was changed into Abulug including two barangays of Fotol and Capinatan. Abulug has a total land area of 19,969 hectares or 199.69 square meters representing 2.22% of the total area of the province.

The audit covered the accounts and operations of the Municipality of Abulug for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, Compliance and Performance Audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2017, were P287,454,840.69, P104,589,719.73 and P182,847,794.56, with an increase of 18.26%, 72.61% and 29.55%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P109,352,305.39 and P84,862,566.86, which increase by 13.19% and 9.29% respectively from last year's figures.

Particulars	2017	2016	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	P287,437,514.29	P243,066,432.52	P44,371,081.77	18.25%
Liabilities	104,589,719.73	101,929,672.41	2,660,047.32	2.61%
Government Equity	182,847,794.56	141,136,760.11	41,711,034.45	29.55%
Financial Performance				
Income	P109,352,305.39	P96,608,613.70	P12,743,691.69	13.19%
Expenses	84,862,566.86	77,647,053.05	7,215,513.81	9.29%
Appropriations, Allotments and Obligations				
Appropriations	P124,082,288.52	P109,679,413.30	P14,402,875.22	13.13%
Allotments	117,824,697.83	109,471,430.92	8,353,266.91	7.63%
Obligations	101,904,127.68	94,677,206.60	7,226,921.08	7.63%

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

Particulars	2017	2016	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	-	-	-
Due from GOCCs	-	-	-
Due from LGUs	-	-	-
Due from NGOs/Pos	-	-	-
Due to Other Funds	-	-	-
Others	-	-	-
TOTAL	-	-	-
Fund Received from Other Agencies:			
Due to NGAs	P27,084,705.18	P9,995,000.00	P17,089,705.18
Due to GOCCs	-	-	-
Due to LGUs	16,973,550.00	17,981,050.00	(1,007,500.00)
Due to NGOs/Pos	-	-	-
Due to Other Funds	-	184,200.00	184,200.00
Others	-	-	-
TOTAL	**P44,058,255.18**	**P28,160,250.00**	**P15,898,005.18**

3. Independent Auditor's Report on the Financial Statements

We rendered an unqualified opinion on the fairness of the presentation of the financial statements of the Municipality of Abulug, Cagayan as at December 31, 2017.

4. Summary of Significant Audit Observations and Recommendations

The findings and recommendations were discussed with LGU officials and employees. Management comments were incorporated in the report, where appropriate. The significant findings and recommendations are as follows:

1. Of the total projects budgeted at P19,241,199.40 from the 20%Development Fund for CY 2017, 21 projects aggregating to P2,310,000.00 or 12% were not implemented as at year-end contrary to the intent of DBM-DILG Joint Memorandum Circular No. 2017-01 dated February 22, 2017, thus depriving the constituents of the benefits to be derived therefrom which affected the efficiency of the municipality towards the achievement of its goals.

   We recommended that Management implement strictly all the priority development projects as planned in order to achieve desirable socio-economic development and environmental outcomes in the municipality and eventually deliver timely benefits to its constituents.

2. Real Property Tax and Special Education Tax Receivables totaling P64,494,934.71 had remained uncollected and outstanding in the books of accounts, hence depriving the municipality of additional resources to support its various projects, programs and activities.

   We recommended that the Local Chief Executive as well as the Sangguniang Bayan Members adopt measures to collect from delinquent taxpayers. Collection system and tax campaign should be strengthened and intensified to eliminate and/or minimize tax delinquencies Additional collections on real property tax shall be used to augment additional projects/programs that will benefit the Local Government Unit.

3. Several programs and activities of GAD Plan and Budget (GPB) amounting to P1,252,900.00 were not implemented and monitored in contrary with the requirements under PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-01, dated July 18, 2013 or Guidelines on the Localization of the Magna Carta of Women, hence, defeats the timely realization of the intended purpose for which the fund was created.

   To ensure the timely implementation of the programs, projects and activities under the Gender and Development Fund to extend to the constituents particularly the women and children their immediate needs as enumerated under the Magna Carta of Women Law, we recommended Management thru the GFPS Executive Committee and TWG to comply with the provisions of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013 in the implementation of GPB. Periodic review and corrections should be made on GPB to address local needs, concerns and welfare of women including other gender related issues.

4. The municipality could have earned additional income from the Public Market by as much as P1,656,000.00 had it ensure to maximize its operation.

   For the above observations, we recommended the following courses of actions:

   a. That the operations of the market should be thoroughly studied, and for management to determine the best alternative step in order to recoup the investment of the Municipality at the earliest possible time. The existing market committee to include among its functions the evaluation of the present financial and operating status of the public market and to recommend measures for the early recoupment of the investment of the Municipality.

   b. Management should come up with strategies on intensive marketing and promotional activities to have all the spaces rented out and to maximize income.

c. Allocate additional fund for the improvement of the dry good center to attract customers and prospective lessees.

5. The Municipality failed to utilize its appropriation amounting to P50,000.00 from the Special Educational Fund for CY 2017 for the Early Childhood Care and Development (ECCD) programs and activities, hence, the intended beneficiaries were deprived of the benefits that could have been derived therefrom.

   We recommended Management through its Local School Board to ensure the implementation of the programs and activities under the ECCD Program to extend to the constituents particularly the children from age zero (0) to four (4) years including children with special needs their holistic needs and to promote their optimum growth and development in pursuance to R. A. 10141 otherwise known as "The Early Years Act of 2013.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	P596,502.03	-	P40,000.10	P556,501.93	6.71%
Current Year	-	-	-	-	-
Total	**P596,502.03**	-	**P40,000.10**	**P556,501.93**	**6.71%**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the fourteen (14) audit recommendations embodied in the previous Annual Audit Report, seven (7) were fully implemented, four (4) were partially implemented and the remaining three (3) were not implemented.